The Company periodically assesses its ability to recover deferred tax assets. In the event of a significant uncertainty regarding the Company's ultimate ability to recover such assets, deferred tax assets are recognized only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilized. Temporary differences whose deferred tax effects were not recognized due to uncertainty regarding the ultimate realizability of such assets as at December 31, 2018 and 2017 are as follows:

(In millions of Korean won)	**2018**	**2017**
Unused tax losses[1]	₩ 357,466	₩ 364,236
Unused tax credits[1]	56,382	69,800

[1] Expiry dates of unused tax losses and unused tax credits for which no deferred tax asset is recognized in the balance sheet are as follows:

(In millions of Korean won)	**2019**	**2020**	**2021**	**2022 and after**
Tax lossess carryforward	₩ -	₩ -	₩ -	₩ 357,466
Tax credits carryforward	₩ 23,308	₩ 4,845	₩ 15,394	₩ 12,835

(D) The liquidity analysis of deferred tax assets and deferred tax liabilities for the years ended December 31, 2018 and 2017 is as follows:

(In millions of Korean won)	**December 31, 2018**	**Decemeber 31, 2017**
Deferred tax assets		
Deferred tax assets to be recovered within 12 months	₩ 2,770,216	₩ 2,279,651
Deferred tax assets to be recovered after more than 12 months	2,697,786	2,782,036
Subtotal	₩ 5,468,002	₩ 5,061,687
Deferred tax liabilities		
Deferred tax liabilities to be recovered after more than 12 months	₩ (15,162,523)	₩ (11,710,781)
Subtotal	₩ (15,162,523)	₩ (11,710,781)
Total	₩ (9,694,521)	₩ (6,649,094)

29. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the years ended December 31, 2018 and 2017 are calculated as follows:

(1) Ordinary shares

(In millions of Korean won, thousands of number of shares)	**2018**	**2017**
Profit or loss attributable to owners of the parent company	₩ 43,890,877	₩ 41,344,569
Profit or loss available for ordinary shares	38,573,066	36,323,723
Weighted-average number of ordinary shares outstanding	5,970,448	6,056,616
Basic earnings per ordinary share *(Korean won)*	₩ 6,461	₩ 5,997

(2) Preference shares

(In millions of Korean won, thousands of number of shares)	2018	2017
Profit or loss attributable to owners of the parent company	₩ 43,890,877	₩ 41,344,569
Profit or loss available for preference shares	5,317,811	5,020,846
Weighted-average number of preference shares outstanding	823,042	844,643
Basic earnings per preference share*(Korean won)*	₩ 6,461	₩ 5,944

(B) Diluted earnings per share

The Company does not have potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the years ended December 31, 2018 and 2017.

30. Cash Flows

(A) Adjustments and changes in assets and liabilities arising from operating activities for the years ended December 31, 2018 and 2017 are as follows:

- Adjustments

(In millions of Korean won)	2018	2017
Adjustments for:		
Income tax expense	₩ 16,815,101	₩ 14,009,220
Financial income	(3,688,038)	(3,447,029)
Financial expenses	2,092,633	2,590,683
Post-employment benefits	958,793	976,328
Depreciation	25,167,112	20,593,616
Amortization	1,314,925	1,523,776
Bad debt expenses (reversal)	(48,320)	206,561
Dividend income	(131,379)	(128,946)
Gain on valuation of equity method	(539,845)	(201,442)
Gain on disposal of property, plant and equipment	(387,070)	(115,001)
Loss on disposal of property, plant and equipment	90,714	122,548
Obsolescence and scrapping of inventories	1,948,360	1,296,366
Gain on disposal of investments	(36,388)	(199,311)
Others	47,975	(1,016,137)
Total	₩ 43,604,573	₩ 36,211,232